

**GOVERNMENT OF ANDHRA PRADESH
ABSTRACT**

Industries & Commerce Department – Amendment to Andhra Pradesh Food Processing Policy 4.0 (2024-29) / One Family, One Entrepreneur by 2030 – Orders – Issued

INDUSTRIES & COMMERCE (PROGRAMME-III) DEPARTMENT

G.O.MS.No. 23

Dated: 17-02-2025

Read the following:-

1. G.O.Ms. No.71, Ind. & Com. (Programme-III) Deptt., Dt:26.10.2024
2. G.O.Ms. No. 69, Ind. & Com. (Programme-I) Deptt., Dt:26.10.2024
3. G.O.Ms.No.22, Ind & Com (Programme-I) Deptt., Dt:17.02.2025

ORDER:-

In the reference 1st cited, emphasizing on value addition in food processing, export promotion, and market diversification, encouraging inclusive growth, benefiting large corporations, small farmers and rural entrepreneurs, Government has released AP Food Processing Policy 4.0 (2024-29), announcing competitive and best package of incentives to Food Processing industries.

2. In the reference 2nd cited, for the upliftment of MSMEs in the State, Government has released AP MSME & Entrepreneurship Development Policy 4.0 (2024-29), announcing competitive and best package of incentives to MSMEs and Entrepreneurs.

3. In reference 3rd cited, Government have issued certain additional benefits to backward community led MSMEs, to create a level playing business environment - three prominent support interventions in the policy for entrepreneurs from backward communities i.e., Capital Expenditure, Power Cost, Land cost. In the said GO, at para 6, mentions to make necessary correction as made in MEDP 4.0 policy, in respective sectoral policies.

4. Accordingly, CEO, AP Food Processing Society, Vijayawada has examined the changes to be made in AP Food Processing Policy 4.0, in alignment with amendments made in MEDP 4.0 and submitted the revisions in AP FPP 4.0 to the Government.

5. Government after careful examination of the matter hereby issue the following amendment/additions to Andhra Pradesh Food Processing Policy 4.0 (2024-29) issued vide G.O.Ms.No.71, I&C (Programme-III) Department, Dt:26-10-2024.

(i) Point 3 of Para 8.1.1 in Content 8 i.e.,Capital Subsidy – For New enterprises, pg 25 will read as follows:

- An additional 10% subsidy **with respective adjustment in cap limits as indicated below**, for enterprises wholly owned by Women/BC/SC/ST/**minority**/speciallyabled /**transgender** entrepreneurs of local domicile.

(p.t.o)

S.No	Category	Subsidy (as % of eligible FCI)	Max. subsidy (INR)	Disbursement period
Primary Processing				
1	FPOs/SHGs/Federations/Co-operatives/Societies	35%	7 Crores	2 years
2	Micro	35%	35 Lakhs	2 years
3	Small	35%	3.5 Crores	3 years
4	Medium	35%	7 Crores	4 years
5	Large	25%	15 Crores	5 years
Secondary/Tertiary Processing				
1	FPOs/SHGs/Federations/Co-operatives/Societies	45%	8 Crores	2 years
2	Micro	45%	45 Lakhs	2 years
3	Small	45%	4.5 Crores	3 years
4	Medium	45%	8 Crores	4 years
5	Large	25%	15 Crores	5 years

(ii) Point 2 of para 8.1.2 in Content 8 i.e., Capital Subsidy – Technology upgradation/ Modernization, pg 26 will read as follows:

- An additional 10% subsidy **with respective adjustment in cap limits as indicated below**, for enterprises wholly owned by Women/BC/SC/ST/**minority**/speciallyabled/**transgender** entrepreneurs of local domicile.

Sl.No.	Policy	Incentive (as % of eligible FCI)	Capping Limit (INR)	Disbursement period
1	FPOs/SHGs/Federations/ Co-operatives/Societies	45 %	5 Crores	2 years
2	Micro	30%	30 Lakhs	2 years
3	Small	30%	3 Crores	3 years
4	Medium	30%	5 Crores	5 years
5	Large	20%	10 Crores	5 years

(iii) Para 8.1.6 of Content 8 i.e., Power Tariff Reimbursement, pg 28, shall read as follows:

Beneficiary	Subsidy	Cap on Subsidy
Other enterprise - Micro	Rs 1 per unit for 5 years	INR 1 lakh/annum
Other enterprise – Small	Rs 1 per unit for 5 years	INR 5 lakh/annum
Other enterprise – Medium	Rs 1 per unit for 5 years	INR 15 lakh/annum
Other enterprise - Large	Rs 1 per unit for 2 years	INR 15 lakh/annum

- For Micro & Small Enterprises from special category shall be eligible for Rs.1.5 per unit for 5 years within the same cap limits for respective category.
- Special Category shall include – enterprises wholly owned by women/BC/SC/ST/ minority/speciallyabled/transgender entrepreneurs having domicile in the state.

(p.t.o)

(iv) Para 8.1.7 of Content 8 i.e., Net SGST Reimbursement, pg 28 shall read as follows:

- **MSMEs and Large units including FPOs/SHGs/Federations/Cooperatives/ Societies:** 100% net SGST payable **for 5 years** from DCP, on the sale of final products manufactured, sold, and registered in the State.
- Annual cap on subsidy shall be 5% of annual turnover, with overall incentive not exceeding 100% of FCI.

(v) Additional para shall be inserted after para 8.1.12 of content 8 which reads as para 8.1.13
Rebate on Land Cost

- 75% rebate in land cost limited to INR 25 lakhs for SC/ST led Micro and Small Enterprises, setup in Industrial Estates/Industrial Parks developed by APIIC.
- The rebate is applicable only for new units and the incentive can be availed only once on the land.

6. The incentives along with above mentioned amendments to FPP 4.0 policy will be extended to eligible industries as per the operational guidelines, which shall be notified separately.

7. The Director of Industries, AP, Mangalagiri and the CEO, AP Food Processing Society, Vijayawada shall take necessary action, accordingly.

(BY ORDER AND IN THE NAME OF THE GOVERNOR OF ANDHRA PRADESH)

N YUVARAJ
SECRETARY TO GOVERNMENT

To

The Director of Industries, Mangalagiri.

The Chief Executive Officer, AP Food Processing Society, Vijayawada.

Copy to:

The Director of Handlooms and Textiles, Yerrabalem, Mangalagiri.

The Director of Mines and Geology, Ibrahimpatnam, Vijayawada.

The Managing Director, Andhra Pradesh State Financial Corporation, Tadepalli, Guntur.

The Principal Finance Secretary, AP Secretariat, Velagapudi.

The Secretary to Government, Finance Department

The Secretary to Government, Social Welfare Department.

The Secretary to Government, Tribal Welfare Department

The Special Chief Secretary to Government, Revenue (CT/LA) Department.

The Special Chief Secretary to Government, Irrigation & CAD (Reforms) Department.

The Special Chief Secretary to Government, Energy Department.

The Secretary to Government, I&I Department.

The LFB&IMS Department.

The Accountant General, Andhra Pradesh, Hyderabad

The Convener, State Level Banker's Committee.

The General Manager, Small Industry Development Bank of India, (SIDBI)

The Pay and Accounts Officer, Mangalgiri.

All District Collectors through Director of Industries, Mangalagiri.

All Heads of Departments through Director of Industries, Mangalgiri.
All Departments of Secretariat, Velagapudi.
All Govt. Companies/Corporations through Director of Industries, Mangalgiri..
The Secretary, Government of India, Ministry of Food Processing Industries, Panchsheel
Bhavan, August Kranti Marg, New Delhi-110 049.
The P.S. to Secretary to Chief Minister, Andhra Pradesh.
The P.S. to Chief Secretary to Government, Andhra Pradesh.
The P.S. to Hon'ble Min. for I&C and FP
All Private Secretaries to the Ministers.
All General Managers, District Industries Centre in the State through Director of Industries,
Mangalagiri.
The P.S to the Secretary, I&C Department
All Sections in the Department.
SF/SC (2583466)

//FORWARDED :: BY ORDER//

SECTION OFFICER